

Loops, not funnels

Week 11, Lecture 1 · LangoBee to \$10K MRR

Summer 2026 · Operating a Solo Language App from Zero Revenue

What we'll cover

- What makes a growth loop structurally different from a funnel
- The shorts-share-viewer candidate loop mapped step by step
- Viral coefficient: the honest math on LangoBee's K-factor
- Why K less than 1 does not mean the loop is useless
- The single metric that would move the number

Funnels vs loops

A funnel consumes; a loop compounds

A linear acquisition funnel has a top and a bottom. Every user enters from outside, moves through stages, and exits. Growth is proportional to what you pour in at the top.

A growth loop has no bottom. The output of one cycle becomes the input of the next:

- Engagement loop: users who learn share what they learned, which brings new users who learn
- Acquisition loop: new users who see the product share it, which brings more new users
- Monetization loop: revenue funds content that improves the product for paying users

(Balfour, Winters, Kwok, and Chen, 2018)

Why this matters for a solo founder

A funnel requires continuous investment at the top. A loop, once turning, requires none.

At LangoBee's stage:

- Every Discord recruit is a funnel input you manufactured
- Every share of a clip is a loop output that could seed a new input
- 174 direct recruits produced 31 monthly actives: an entirely manufactured funnel

The question for distribution phase: can you engineer one loop that turns without you?

The candidate loop

The shorts-share-viewer loop

This is LangoBee's one candidate acquisition loop. It has four stages:

1. **Feed impression:** a logged-in user sees a clip in the shorts feed
2. **Completion:** they watch to the end (the quality signal)
3. **Share:** they send the clip to someone outside the app
4. **New viewer signup:** the recipient discovers LangoBee and signs up

The output (a new signup) becomes a new feed impression on the next cycle.

What the June 2026 data says

Measure each stage honestly (June 2026 snapshot):

- Feed impressions (30 days): 408
- Completions: 101 (28% completion rate; 63% skip)
- Shares: 1
- New viewer signups from that share: unknown, likely 0

Share rate: $1/408 = 0.0025$. K-factor requires share rate times conversion rate of new viewers. With an unknown second multiplier, K is effectively 0.

This loop is not turning.

The viral coefficient, defined

The K-factor formula:

$$K = (\text{shares per user}) \times (\text{signups per share})$$

At $K = 1$, every user brings in one new user. The product maintains size without acquisition spend.

At K less than 1, the loop does not sustain itself. Growth requires outside input.

At K greater than 1, the user base grows exponentially on its own.

LangoBee's K is near zero. One share from 13 real feed users is not a loop; it is noise.

(Chen, 2009)

K less than 1 does not mean the loop is useless

Chen's original framing is often misread. K greater than 1 is not the goal; a working loop is.

A product with $K = 0.3$ and strong LTV still compounds faster than a funnel-only competitor at the same LTV. Each loop cycle seeds new users at near-zero marginal cost.

The question is not "is K greater than 1?" It is "is K above zero in a measurable way?" For LangoBee today, the honest answer is: we do not know, because the sample is too small to measure.

(Chen, 2009)

What would change the number

The two multipliers you can control

K has two terms. You can improve either:

Shares per user:

- Is the share button visible after completion?
- Does the shared link work without an account?
- Is the shared content interesting enough that the recipient watches?

Signups per share:

- Does the share land on a frictionless page?
- Is there a clear reason to create an account vs just watch?

LangoBee's current share link behavior: unknown. This is the first thing to audit.

The one metric to track this week

To know if the loop is turning, you need one number: **share-to-signup rate**.

Define it: of all clips shared from the feed in the last 30 days, what percentage produced at least one new authenticated user within 7 days?

With 1 share in 30 days, you cannot compute this yet. The target for a measurable signal: 20+ shares. That requires the share surface to work and the clip count in feed to grow.

Loop vs funnel for LangoBee right now

Discord recruit -> signup -> maybe returns

Output: 31 MAUs

Cost: your time, every cycle

Feed impression -> completion -> share -> new viewer

Output: unknown, K near 0

Cost: near zero once working

Funnel (what exists)

Loop (candidate)

The funnel is the business today. The loop is the thesis for distribution phase. Neither invalidates the other.

The viral coefficient measures how many friends each user brings in -- nothing else. It does not measure retention, monetization, market size, or whether users love the product. (Paraphrased)

Andrew Chen (2009)

Viral coefficient: What it does and does NOT measure

Take-aways

1. A funnel produces growth proportional to input at the top. A loop produces outputs that seed the next cycle, compounding over time.
2. LangoBee's candidate loop is shorts -> share -> new viewer -> shorts. It is not turning: 1 share from 408 impressions in 30 days.
3. The K-factor at LangoBee is effectively zero, not because the loop is broken but because the sample is too small and the share surface is unaudited.
4. K less than 1 does not make a loop worthless. A K of 0.3 with strong LTV still beats a pure funnel at the same LTV.
5. The one metric to instrument: share-to-signup rate. The threshold for a measurable signal: 20 shares.

What's next

- **Reading:** "Week 11: Owned loops and the content engine" at </c/langobee-10k-mrr-26su/readings/wk11>
- **Lecture 2 (this week):** The content engine you already have: catalog as marketing inventory, clip repurposing, programmatic SEO
- **Section this week:** Stand up one owned channel, produce three clips through the pipeline, define the loop metric dashboard
- **HW4 DUE this week:** Distribution channel audit with loop metric defined and baseline measured